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Cabinet Resolution No. (99) of 2024 Concerning the List of Administrative Violations and Penalties for Acts Violating the Provisions of the Cabinet Resolution No. 111 of 2022 Regulating Virtual Assets and the Related Service Providers

Cabinet:

Having perused:

- The Constitution;
- Federal Law No. (4) of 2000 concerning the UAE Securities and Commodities Authority and Market, as amended;
- Cabinet Resolution No. 111 of 2022 Regulating Virtual Assets and the Related Service Providers; and
- Based on the proposition of the Minister of Finance and approval of the Cabinet.

Has resolved:

Article (1) Definitions

In application of the provisions of this Resolution, the following terms and expressions shall have the meanings assigned thereto, unless the context indicates otherwise:

State	:The United Arab Emirates
Authority	:The Securities and Commodities Authority
Chairman	:The Chairman of the Authority's Board of Directors.
Local Licensing Authority	:The local authority vested with the authority to regulate the virtual assets (VAs) in the emirate concerned.
Cabinet Resolution	:Cabinet Resolution No. 111 of 2022 Regulating Virtual Assets and the Related Service Providers.
Regulations Manual	:Regulations Manual of the Financial Activities approved under the Chairman of the Authority's Board of Directors' Resolution No. (13/ Chairman) of 2021, as amended.
Virtual Asset Service Providers	:Any legal person practicing one or more activities related to virtual assets or the related processes for the benefit or on behalf of a person, such as the operator of the virtual assets platform, the broker of virtual assets and the custodian of virtual assets, and any other activities in accordance with the provisions of the Cabinet Resolution.

Article (2) Scope of the Resolution

The provisions of this Resolution shall apply to anyone who commits any of the acts violating the provisions of the Cabinet's Resolution and the decisions issued pursuant thereto.

Article (3) Administrative Penalties

1. The Authority or the Local Licensing Authority, as the case may be, may impose one or more penalties on anyone who commits any of the acts that violate the provisions of the Cabinet Resolution and the decisions issued pursuant thereto, in accordance with the penalties and gradation specified in the table attached hereto.
2. The violator shall bear the costs and expenses of removing and remedying the damages resulting from the violation in the event that it is not removed or remedied.
3. The Authority or the Local Licensing Authority, as the case may be, may refer the violator of the provisions of the Cabinet Resolution to the Public Prosecution if the violation constitutes one of the crimes punishable by law.
4. The Authority or the Local Licensing Authority, as the case may be, whenever the incident in question is related to formal procedures or as it deems appropriate, may issue a warning to the violator and direct him to remedy and avoid repeating the violation in the future. In the event that the violation is not remedied within the period specified by the Authority or the Local Licensing Authority, as the case may be, the penalty stipulated in accordance with the provisions of this resolution shall be imposed.
5. The fine imposed by the Authority or the Local Licensing Authority, as the case may be, on the violator must be paid within the payment deadline specified thereby. The Authority or the Local Licensing Authority, as the case may be, may impose a daily late payment fine of AED (1,000) (one thousand dirhams) for each working day of late payment after the specified date, provided that the total late payment fines do not exceed the value of the fine initially imposed.

Article (4) Administrative Penalties Amendment

The Cabinet shall have the power to amend the penalties mentioned in this Resolution, whether by addition, deletion or amendment.

Article (5) Appeal

Every stakeholder may file a grievance against the administrative penalty before the Authority that imposed the penalty within (30) thirty days from the date of notifying him of the administrative penalty against which the appeal is made, provided that such appeal is attached with grounds and all supporting papers and documents. Such grievance shall be decided upon within (30) thirty days of the submission date, pursuant to the applicable procedures with that Authority, the decision issued thereon shall be final. Receiving no reply during the above period shall be deemed a rejection of the grievance.

Article (6) General Provisions

1. Fines stipulated in this Resolution and imposed by the Authority shall be collected in a manner decided by the Ministry of Finance.
2. Fines stipulated in this Resolution and imposed by the Local Licensing Authority shall be collected by this Authority and in accordance with the legislations applicable in the Emirate to which it belongs.
3. For the purposes of collecting the administrative fine stipulated in this Resolution, part of a day shall be considered a full day and part of a month shall be considered a full month.
4. The Authority or the Local Licensing Authority may take all procedures that it deems appropriate against a violator in case of refusal to pay the prescribed fine or failure to remedy the violation within the period specified in the decision issued on the violation.
5. The provisions of this Resolution shall not prejudice the authority of the Local Licensing Authority to impose any penalties or other measures or oblige the violator to pay the losses incurred by the customers as a result of the violations committed, in accordance with the legislations applicable therein.

Article (7) Publication and Enforcement of the Resolution

This Resolution shall be published in the Official Gazette and shall come into force after thirty (30) days from the date of its publication.

Mohammed Bin Rashid Al Maktoum

Prime Minister

Duly sealed by the Cabinet

The Table Attached to Cabinet Resolution No. (99) of 2024

Concerning the List of Administrative Violations and Penalties for Acts Violating the Provisions of Cabinet Resolution No. (111) of 2022 Regulating the Virtual Assets and the Related Service Providers

No.	Violation Description	Reference	Administrative Penalties for the First Time	Administrative Penalties for the Second Time	Administrative Penalties for the Third Time	Administrative Penalties for the Fourth Time and More
1	Conducting the activity of virtual assets in the country without obtaining the necessary license or approvals	Clause (1) / Article (4) of the Cabinet Resolution	A fine of AED (500,000), in addition to closing the premises and suspending or preventing the operation of the platform as the case may be.	A fine of AED (1,000,000), in addition to closing the premises and suspending or preventing the operation of the platform as the case may be.	A fine of AED (2,000,000), in addition to closing the premises and suspending or preventing the operation of the platform as the case may be.	A fine of AED (4,000,000), in addition to closing the premises and suspending or preventing the operation of the platform as the case may be.
2	The absence of a premises in the country according to one of the legal forms approved by the local authorities concerned with the commercial licenses	Clause (2) / Article (4) of the Cabinet Resolution	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
3	Failure to obtain the initial approvals from the Authority or the local licensing authorities prior to the commencement of the licensing procedures with the local authorities concerned with the commercial licenses	Clause (3) / Article (4) of the Cabinet Resolution	Warning	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)
4	Dealing with a person practicing the virtual assets activity in the country without license	Clause (4) / Article (4) of the Cabinet Resolution	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000)
5	Doing - whether alone or in collusion with others - any	Clause (2) / First Paragraph /Article (3) of	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000)

	action or dealing which shall result in deceiving or misleading the investors including the following: 1- Carrying out a trading operation(s) on a specific virtual asset with the aim of misleading the public Investors that there is an active market for this virtual asset or with the aim of influencing its price (increasing, decreasing, fixing the price) or its trading volume on the platform or with the aim of influencing the investor's decision to invest or not. 2- Entering and/or amending and/or canceling order/ orders to purchase or sell a specific virtual asset, with the aim of misleading the public Investors that there is an active market for this virtual asset, or with the aim of influencing its price or trading volume on the platform, or with the aim of influencing the investor decision to invest or not.	the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.				
6	Exploitation by a person - either alone or in collusion with others - of information about investor orders in order to achieve personal gain for himself or for others.	Clause (2) / First Paragraph /Article (3) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000)

		asset platform operator.				
7	The virtual asset platform operator's breach of the tasks entrusted to him.	Article (4) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
8	The virtual asset platform operator's failure to comply with the operational efficiency and flexibility.	First Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
9	The virtual asset platform operator's failure to set the operational rules in accordance with the requirements.	Second Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
10	The virtual asset platform operator's failure to adhere to integrity, transparency and professional conduct.	Third Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (1,000,000) and cancelling the license or one of the two penalties
11	The virtual asset platform	Fourth Paragraph /	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and	A fine of AED (800,000) and

	operator's failure to adhere to protect and maintain the virtual assets.	Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.			suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	cancelling the license or one of the two penalties
12	The virtual asset platform operator's failure to provide an effective regulatory system, arrangements and compliance programmes to monitor transactions and dealers, prevent misuse and manipulation of the platform, and prevent misuse of the platform in a manner that contravenes applicable legislation on money laundering crimes, combating the financing of terrorism, financing of illegal organizations and any other financial crimes.	Clause (1)/ Fifth Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
13	The virtual asset platform operator's failure to provide operational policies and rules, and objective and fair procedures for accepting Virtual Asset transactions.	Clause (4)/ Fifth Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
14	The virtual asset platform operator's failure to establish rules	Clause (1)/ Sixth Paragraph / Article (5) of	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the	A fine of AED (400,000) and cancelling the license or one of

	and procedures for the fair, orderly and efficient operation of trading.	the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.			activity for a period not exceeding one year or one of the two penalties.	the two penalties
15	The virtual asset platform operator's failure to provide adequate arrangements to continuously enhance transparency in the trading and post-trading phase by providing the public with sufficient information about virtual assets.	Clause (2)/ Sixth Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
16	The virtual asset platform operator's failure to provide effective systems, controls, procedures and arrangements to ensure that trading systems are able to handle trading fluctuations.	Clause (3)/ Sixth Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
17	The virtual asset platform operator's failure to establish a comprehensive policy in the operating rules to address errors resulting from incorrect entry of trading orders or resulting from a malfunction in the operating system, or both.	Clause (4)/ Sixth Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
18	The virtual asset platform operator's failure	Clause (5)/ Sixth Paragraph /	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from	A fine of AED (800,000) and cancelling the

	to provide clearing and settlement arrangements, controls and procedures to ensure the fulfillment of the rights and obligations arising between the parties to the transaction executed on the platform.	Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.			conducting the activity for a period not exceeding one year or one of the two penalties.	license or one of the two penalties
19	The virtual asset platform operator's failure to provide procedures to ensure that access to its services and facilities is only for persons authorized in accordance with the legislation, operating rules and/or instructions.	Clause (1)/ Seventh Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
20	The virtual asset platform operator's failure to provide regulatory arrangements, including financial and technological resources, that are not less than those of similar companies in the same field in accordance with international practices.	Clause (2)/ Seventh Paragraph / Article (5) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
21	The virtual asset platform operator's failure to provide any documents or data to Authority during the period determined by the same.	Clause (1)/ Article (6) of the Chairman of the Authority's Board of Directors' Resolution No. (26/Chairman) of 2023 on the regulation of the virtual asset platform operator.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
22	The virtual asset service provider's failure to provide	Paragraph (1) / Article (3) / Chapter (2) /	Warning	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and cancelling the

	classification of the customer as a regular investor, professional investor or counterparty, document and archive the classification procedures, and prepare a classification record for each customer that includes sufficient information about those procedures and supporting documents.	Part (3) of the Regulations Manual.				license or one of the two penalties
23	The virtual asset service provider's classification of the Customer into more than one category in circumstances other than those permitted.	Paragraph (2) / Article (3) / Chapter (2) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
24	The virtual asset service provider's reliance on a third party to classify its customers, whether from within or outside its financial group, without the third party being licensed by the Authority, the Central Bank of the UAE, or a regulatory authority similar to the Authority.	Paragraph (3) / Article (3) / Chapter (2) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
25	The virtual asset service provider's failure to notify the customer in the event that it does not meet the Professional Investor Conditions as soon as it becomes aware of this and the actions to be taken by the customer and the Licensing Authority to remedy the situation.	Paragraph (4) / Article (3) / Chapter (2) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
26	The virtual asset service provider's	Paragraph (5) / Article (3) /	Warning	A fine of AED (100,000)	A fine of AED (200,000) and	A fine of AED (400,000) and

	failure to obtain an annual declaration from the customer regarding that the data of its classification has not been changed, and to update any of that data if it's changed for any reason at any time, and its failure to update the classification in all cases - every (3) three years while keeping all declarations and updates.	Chapter (2) / Part (3) of the Regulations Manual.			suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	cancelling the license or one of the two penalties
27	The virtual asset service provider's failure to sign an agreement with the customer written in Arabic or in both Arabic and English, including at least the information stipulated in Appendix No. (1) of Part (3) of the Regulations Manual and all the customer's obligations and rights, and not including the financial services provided to him clearly.	Paragraph (1) / Article (7) / Chapter (2) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
28	The virtual asset service provider's failure to comply with the terms and conditions of reliance on the agreement concluded with the Customer and signed with a third party.	Paragraph (2) / Article (7) / Chapter (2) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
29	The virtual asset service provider's failure to meet the fitness and properness criteria for the customer.	Article (8) / Chapter (2) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
30	The virtual asset service provider's	Clause (1) / Paragraph (1)	Warning	A fine of AED (100,000)	A fine of AED (200,000) and	A fine of AED (400,000) and

	failure to convert the customer's account into a dormant account if a period of (3) calendar years - (36) thirty-six months - has passed without any transaction being made thereon or data being updated.	/ Article (1) / Chapter (4) / Part (3) of the Regulations Manual.			suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	cancelling the license or one of the two penalties
31	The virtual asset service provider's failure to notify the customer - according to his last known address - after (3) years have passed without conducting any transactions through his account or updating the data completely and correctly of the necessity of updating his data with the licensing authority or dealing with his account within (30) days from the date of notification.	Clause (2) / Paragraph (1) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
32	The virtual asset service provider's failure to include in the notification to the customer the procedures and consequences that will result from his failure to comply with what is required within the specified period as stated in the Regulation Manual.	Clause (3) / Paragraph (1) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
33	The virtual asset service provider's failure to classify the customer's account as dormant and refrain from conducting any transactions through that account within the specified period, in	Clause (1) / Paragraph (2) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

	accordance with the Regulations Manual.					
34	The virtual asset service provider's failure to convert the customer's balances of securities to the market or depository center.	Clause (2) / Paragraph (2) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
35	The virtual asset service provider's failure to maintain the balances of the customer's cash amounts, and failure to provide them continuously without prejudice thereto except upon his instructions or the instructions of the Authority or the judicial authorities within the specified period, in accordance with the Regulations Manual.	Clause (3) / Paragraph (2) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
36	The virtual asset service provider's failure to provide the Customer, according to his last known address, with a final account statement indicating that he will not send any other account statement until he reviews it to activate the account within the specified period, in accordance with the Regulations Manual.	Clause (4) / Paragraph (2) / Article (1) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
37	The virtual asset service provider's failure to identify current and potential conflicts of interest cases with its customers, and between any customer and	Paragraph (1) / Article (2) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

	another, and to work to reduce and manage the same in a way that does not negatively affect the customer's interests, while ensuring that all customers are treated fairly and without bias as a result of conflicts of interest.					
38	The virtual asset service provider's failure to disclose the conflicts of interest to the customer in writing either generally or in relation to a specific transaction.	Paragraph (2) / Article (2) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
39	The virtual asset service provider's having engaged in any action that may result in a conflict of interest when providing or performing a financial service to the customer in the event that the conflict of interest cannot be mitigated and managed in cases of current or potential conflict of interest.	Paragraph (3) / Article (2) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
40	The virtual asset service provider's failure to take the necessary procedures to prevent partners from exploiting its funds in any way, whether by withdrawal, financing, transfer, or other actions unrelated to its activity.	Paragraph (4) / Article (2) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
41	The virtual asset service provider's failure to establish arrangements to limit conflicts of interest by taking the legally prescribed procedures	Paragraph (5) / Article (2) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties

	described in Paragraph (5) of Article (2) of Chapter (4) of Part (3) of the Regulations Manual.					
42	The virtual asset service provider's failure to disclose to the ordinary investor the details of any commission or direct or indirect interests that it will receive from the virtual asset service provider before recommending a financial product to him, executing any transaction, or providing any financial service, except in cases that are not permitted by law.	Paragraph (4) / Article (4) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
43	The virtual asset service provider's having forced, induced, coerced or misled the customer, directly or indirectly, to provide incentives, commissions, benefits, presents, gifts or the like in its favor or in favor of any of its employees, and its acceptance of any of that in exchange for an obligation or duty on the part of any of them towards the customer or in exchange for providing services that conflict with any of those obligations or duties, except in cases permitted by law.	Paragraph (1) / Article (5) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
44	The virtual asset service provider's failure to document and archive the procedures that prove its and its	Paragraph (2) / Article (5) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one	A fine of AED (400,000) and cancelling the license or one of the two penalties

	employees' compliance with the obligation contained in paragraph (1) of Article (5) of Chapter (4) of Part (3) of the Regulation Manual.				year or one of the two penalties.	
45	The virtual asset service provider and its employees' failure to conduct the financial activity and provide the financial service to the customer with the due care of a careful person due to their experience and competency by performing the tasks accurately, carefully and attentively without any negligence and taking all reasonable procedures according to the surrounding circumstances, acquired experience and future expectations.	Paragraph (1) / Article (6) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
46	The virtual asset service provider and its employees' failure to carry out financial activity and job duties in accordance with the terms and conditions on the basis of which the license was issued and the employees accredited and in consideration of the commercial customs and general principles of the Virtual Asset Service Provider and the accredited employees contained in Chapter (2) of the	Paragraph (2) / Article (6) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties

	Regulations Manual and the principles of justice and equality.					
47	The virtual asset service provider and its employees' failure to fulfill the interests of customers and not discriminate between them, and taking into account not giving preference to personal interests or the interests of others over the interests of customers	Paragraph (3) / Article (6) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
48	The virtual asset service provider and its employees' failure to engage in or cooperate with third parties to engage in any misleading, deceptive, fraudulent conduct.	Paragraph (4) / Article (6) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (1,000,000) and cancelling the license or one of the two penalties
49	The virtual asset service provider and its employees' failure to refrain from exploiting customer data to achieve personal benefits or gains for any of them or for others or to publish any incorrect or misleading information.	Paragraphs (5,6) / Article (6) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (1,000,000) and cancelling the license or one of the two penalties
50	The virtual asset service provider's failure to take into account achieving the best execution price for the customer and taking into account the distribution among brokers in the market in which it deals, and its bias towards some brokers in a way that may achieve	Paragraph (1) / Article (7) / Chapter (4) / Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties

	special gains for it or harm the customer's rights, and carrying out execution operations with the aim of increasing commissions, fees or expenses for it or for others.					
51	The virtual asset service provider's failure to comply with the obligations stipulated in the agreement with specialized persons with regard to advertise and market their financial services on their behalf	Article (8) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
52	The partners, members of the board of directors, virtual asset service provider, and its manager or board of managers, and its employees' failure, when executing any trading orders for their own account or for the account of their spouses, their ancestors, or their descendants up to the second degree, or for the account of any of their spouses or minor children, to comply with the stipulated obligations.	Paragraph (1) / Article (9) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)
53	The virtual asset service provider's failure to comply with the obligations regarding the execution of trading orders for partners, members of the Board of Directors, the Director or the Board of	Paragraph (2) / Article (9) / Chapter (4) / Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

	managers and its employees.					
54	The employees of the virtual asset service provider having traded in certain virtual assets if the service provider, in accordance with its license, provided financial advice relating to the virtual asset or its source or on virtual assets related thereto or its source before this is published and made available to all customers of the service provider.	Paragraph (4) / Article (9) / Chapter (4) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000)	A fine of AED (800,000)
55	Failure to include the data contained in Appendices No. (1), (2), (3) and (6) of Part (3) of the Regulations Manual.	Appendices No. (1), (2), (3) and (6) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
56	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the requirements set out in the “Guidelines for Financial Institutions Adopting Enabling Technologies” issued by the Central Bank in coordination with the Authority, the Dubai Financial Services Authority, the Dubai International Financial Centre, and the Financial Services Regulatory Authority of the Abu Dhabi Global Market.	Paragraph (1) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	A fine of AED (100,000)	A fine of AED (200,000)	A fine of AED (400,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (800,000) and cancelling the license or one of the two penalties
57	Failure of the virtual asset service provider, who provides a	Clause (1) / Paragraph (2) / Appendix (7) (Virtual Asset	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the	A fine of AED (400,000) and cancelling the license or one of

	(Virtual Asset Portfolio Service), to provide procedures describing the process of creating and managing Virtual Asset Portfolios and the controls related thereto.	Portfolio) of Part (3) of the Regulations Manual.			activity for a period not exceeding one year or one of the two penalties.	the two penalties
58	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to provide procedures describing the process of creating and managing Private Keys and the controls related thereto.	Clause (2) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
59	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to provide the necessary systems and controls to mitigate the risks of virtual asset misuse.	Clause (3) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
60	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to set a security plan describing the security arrangements, procedures and measures followed in saving and transmitting data securely.	Clause (4) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
61	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to develop a risk management plan that includes a detailed analysis of potential low- and high-impact risks	Clause (5) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

	and strategies to mitigate those risks.					
62	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the following: 1. Testing the systems and operations related to providing protection on a frequent and scheduled basis once licensed by the Authority, as well as failure to provide evidence confirming that the systems and operations have been tested, and the results reached have been documented appropriately, in addition to failure to provide the Authority with those results to be examined upon its request; and including the schedule for testing the systems in the protocols provided to the Authority upon submitting the request. 2. Taking into account the periodic testing schedule, procedural risks and high-impact financial risks. 3. Testing the systems in a manner consistent with the best practices and standards followed in the industry.	Clause (6) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
63	Failure of the virtual asset service provider, who provides a	Clause (7) / Paragraph (2) / Appendix (7) (Virtual Asset	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the	A fine of AED (400,000) and cancelling the license or one of

	(Virtual Asset Portfolio Service), to comply with the following: 1. Disclosing the proposed automation processes for its functions in the procedures manual provided at the time of submitting the application, as well as failure to provide appropriate reasons and justifications. 2. Updating the Operational Risk Management Program (ORMP) in a timely manner with the aim of developing scenarios to be followed in the event of failure of the automation process.	Portfolio) of Part (3) of the Regulations Manual.			activity for a period not exceeding one year or one of the two penalties.	the two penalties
64	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the following: 1. The content of the Regulations Manual regarding the general requirements imposed by the Authority and related to outsourcing activities. 2. The requirements related to the virtual assets portfolio according to the details contained in Clause (8) / Paragraph (2) of Appendix (7) (Virtual Assets Portfolio) of Chapter (3 of the Regulation Manual.	Clause (8) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

65	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the following: 1. Carrying out processes and procedures related to decision-making and ways of access to sensitive information and security systems. 2. Maintaining clear audit and review records of the decision-making process, and employees with decision-making responsibilities' failure to have sufficient expertise - especially from technological and technical aspect - to qualify them to do so. 3. Applying protection measures to limit access to sensitive/critical data to essential employees only.	Clause (9) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
66	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to develop policies and measures in order to prevent private keys from being compromised.	Clause (10) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
67	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to develop clear policies and procedures detailing recovery procedures when	Clause (11) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

	a customer lost their login credentials.					
68	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the following: 1. Developing policies and procedures that are consistent with the applicable anti-money laundering rules in order to identify the source of funds and ensure compliance with the guidelines set by the Authority related to anti-money laundering. 2. The licensed person exerting due diligence with regard to its customers before opening an account in order to be able to identify users holding portfolio addresses.	Clause (12) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
69	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service) to comply with the following: 1. Establishing measures and procedures that are in line with best practices in the network security industry. 2. Updating all systems, especially security systems, and closing any gaps existing therein as soon as possible to do so safely after the	Clause (13) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties

release of updates.

3. Following security policies related to IT infrastructures that specifically describe the integrity of multi-level security protection and how “weak points” have been addressed.

4. The integrity of the IT infrastructures that it's enough to handle a number of scenarios without incurring significant losses to customers.

5. Developing information security policies and procedures for all employees.

6. Including strong encryption of data at sleep mode and during transition in the security policy.

7. Recording and documenting all security incidents and breaches in the most accurate detail as soon as practicable.

8. Using open-source software according to clear, transparent and well-documented rules and procedures.

9. Securing all internal and external APIs by establishing strict access management systems and procedures, including encryption of information.

	10. subjecting all changes to login credentials and access management procedures for (employees and third parties service providers and customers) to strict and well-documented procedures and rules.					
70	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to comply with the following: 1. Proving that all signatories are required to document the reasons behind their approval or rejection of a transaction related to a virtual asset as part of their established protocols. 2. Maintaining a detailed record of any changes to the chain of access to the virtual asset. 3. Making records of approved/rejected transactions, supporting justifications, and records of any changes to the chain of access to the digital asset available to the owner of the asset, subject of the transaction, upon request from it.	Clause (14) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties
71	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to establish a documented	Clause (15) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of	A fine of AED (400,000) and cancelling the license or one of the two penalties

	system for detecting suspicious or fake transactions and procedures for reviewing suspicious transactions.				the two penalties.	
72	Failure of the virtual asset service provider, who provides a (Virtual Asset Portfolio Service), to include its protocols applied for the disclosure of the source of the valuation and the methodology used to do so for the customer and the signatory parties prior to initiating the transaction, if the current market value is one of the main reasons behind initiating a transaction involving a virtual asset that has been safely custodied.	Clause (16) / Paragraph (2) / Appendix (7) (Virtual Asset Portfolio) of Part (3) of the Regulations Manual.	Warning	A fine of AED (100,000)	A fine of AED (200,000) and suspension from conducting the activity for a period not exceeding one year or one of the two penalties.	A fine of AED (400,000) and cancelling the license or one of the two penalties